Governor's Challenge

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November 2026

Persistent geopolitical and trade tensions

Theme: recent geopolitical risks transmit through global energy markets and supply chains

Windward

Iran War at Sea: How the Conflict Is Disrupting Global Trade and Energy

The Times of Israel

Syria foils Hezbollah-linked plot to attack key oil refinery

ET EnergyWorld

Crude oil faces another volatile week as Iran diplomacy tests geopolitical premium: Analysts

The Hans India

Houthis report airstrikes on Red Sea oil port, telecom facility in Yemen

Financial Times

Russia unleashes massive attack on Ukraine's energy infrastructure

The US-China trade war seems to have subsided – but the sense of calm is misleading

CTV News

Tariff relief for Canada not guaranteed after Democrats sweep U.S. midterm elections

Persistent geopolitical and trade tensions

Recent geopolitical risks transmit through global energy markets and supply chains

Windward

Iran War at Sea: How the Conflict Is Disrupting Global Trade and Energy

Following target rate hike in Oct 2026, we recommend:
subsequent hike of 25 basis points in Dec 2026

Russia unleashes massive attack on Ukraine's energy infrastructure

The US-China trade war seems to have subsided – but the sense of calm is misleading

CTV News

Tariff relief for Canada not guaranteed after Democrats sweep U.S. midterm elections

1. **Global Overview**

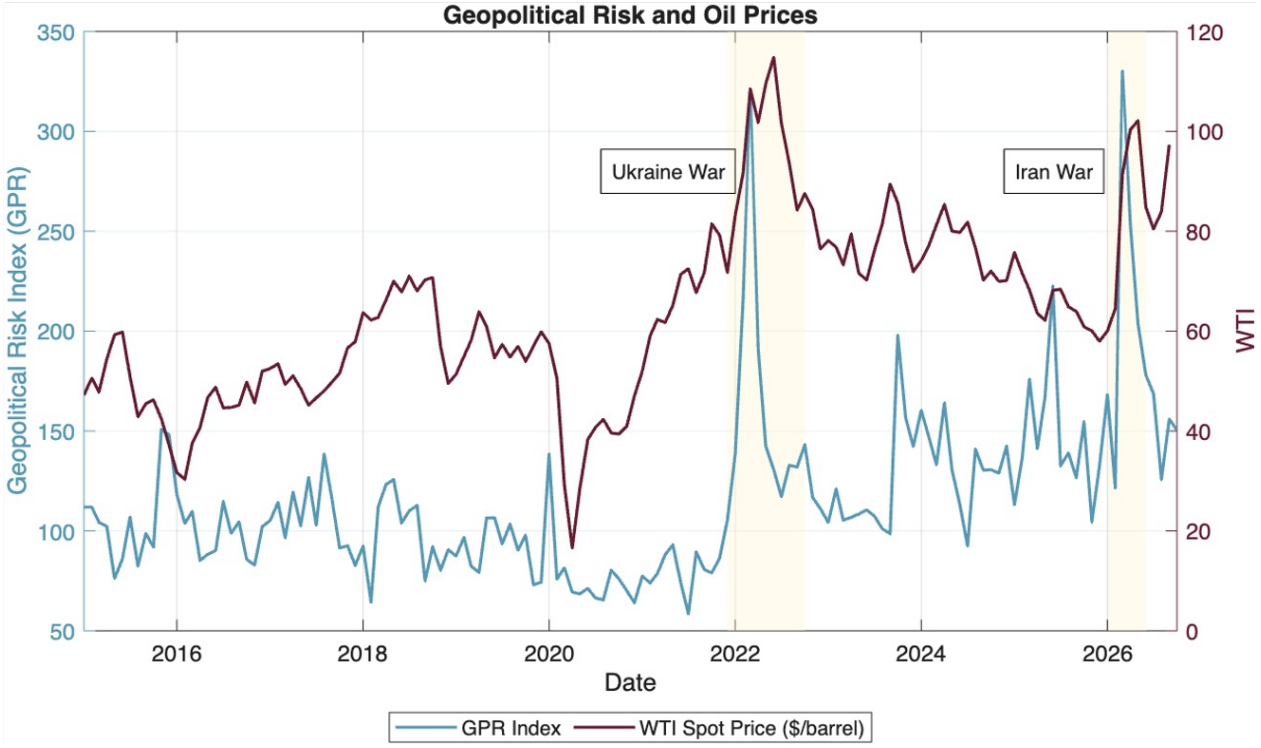
2. Domestic Overview

3. Baseline Forecasts

4. Risk Analysis

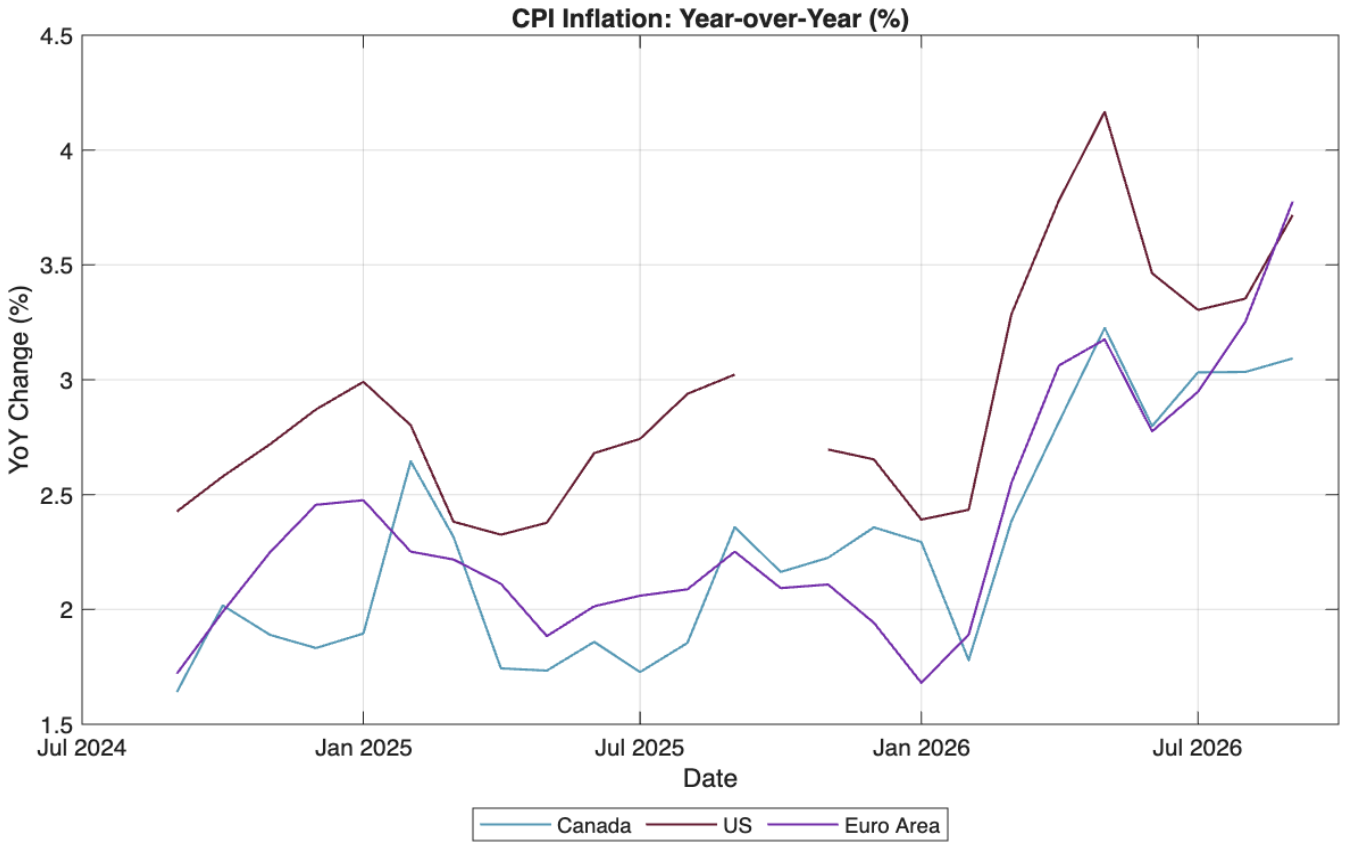
Trend: high oil prices follow high geopolitical risk

Alongside heightened volatility over past 5 years



Source(s): Caldara, Dario and Matteo Iacoviello (2022), US Energy Information Administration

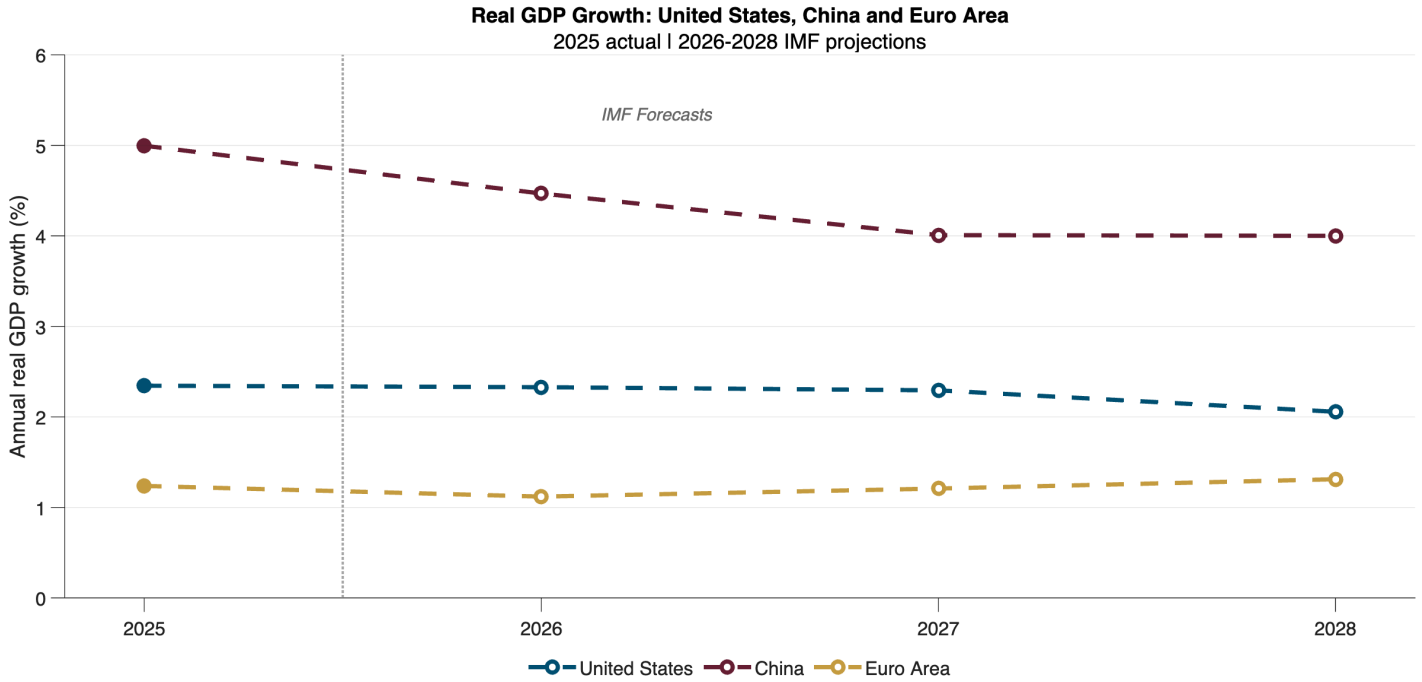
Elevated energy prices fuel global inflationary pressures



Source(s): Bank of Canada, Bureau of Labour Statistics, ECB Data Portal. Note: Data for October 2025 is missing due to the US Government Shutdown

Trade partners show resiliency

Resilient growth amid energy crisis and heightened uncertainty



Growth Foundations

- Euro area: Manufacturing expansion ***- US & China***: Activity in AI-related sectors

Source(s): IMF October 2026 World Economic Outlook



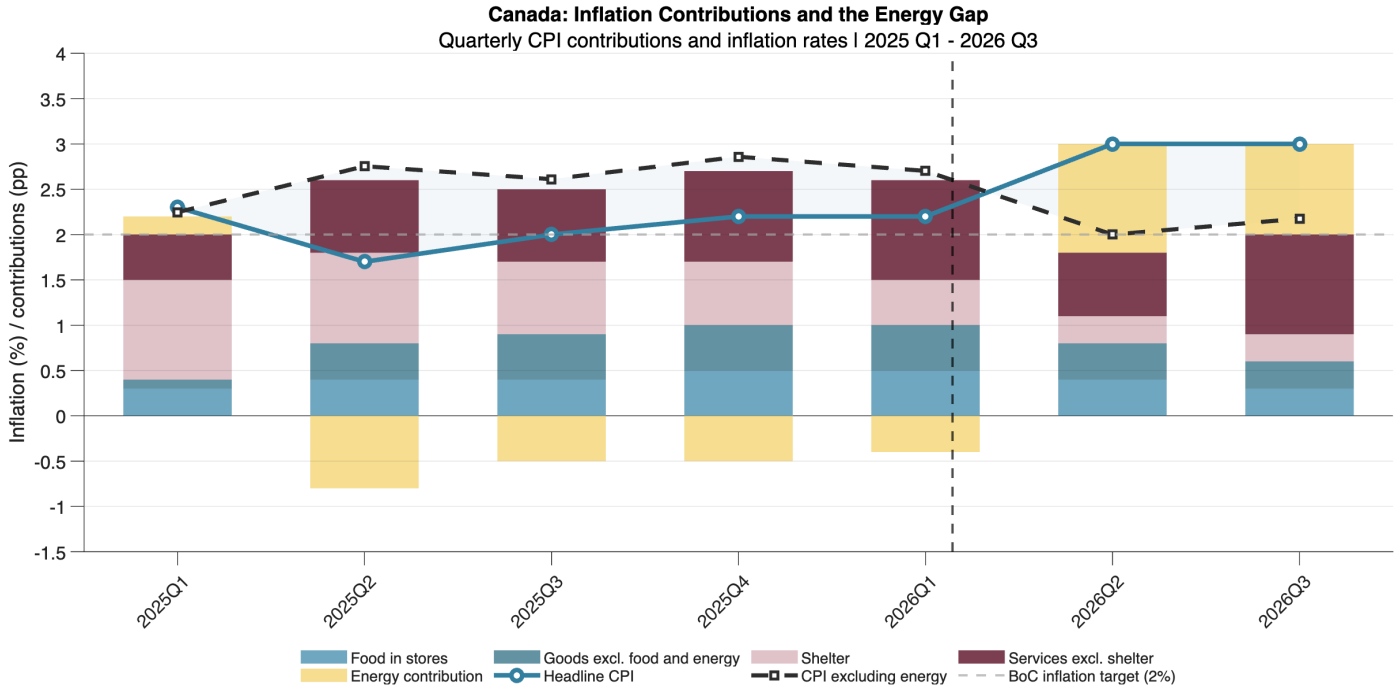
1. Global Overview

- *Partner economies resilient, but geopolitical & trade disruption elevate energy-driven inflation.*

2. Domestic Overview

Q3 2026: Higher energy prices push CPI inflation to 3%

Sharp rise in headline inflation, while CPI excluding energy remains near the Bank's 2% target

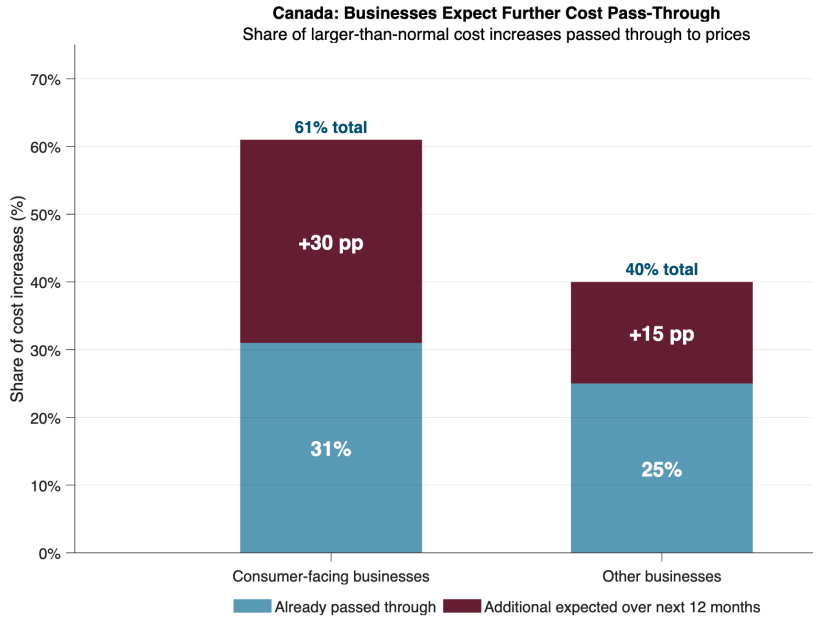


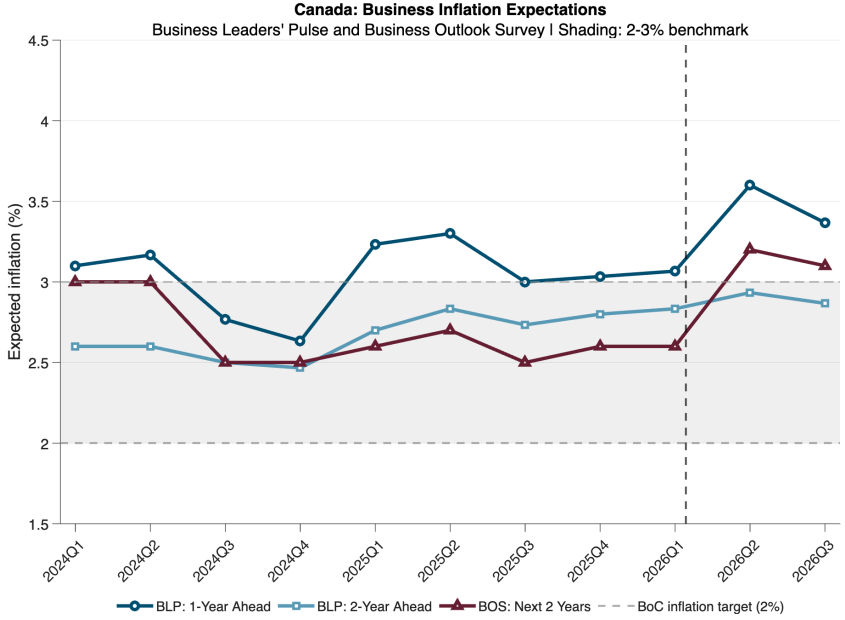
Energy contribution turned positive in Q2 2026:
widened gap between headline and excluding-energy CPI inflation to ~1 pp.

Source(s): Statistics Canada

Upside risks to underlying inflation

Rising business expectations and further cost pass-through could add pressures on core inflation



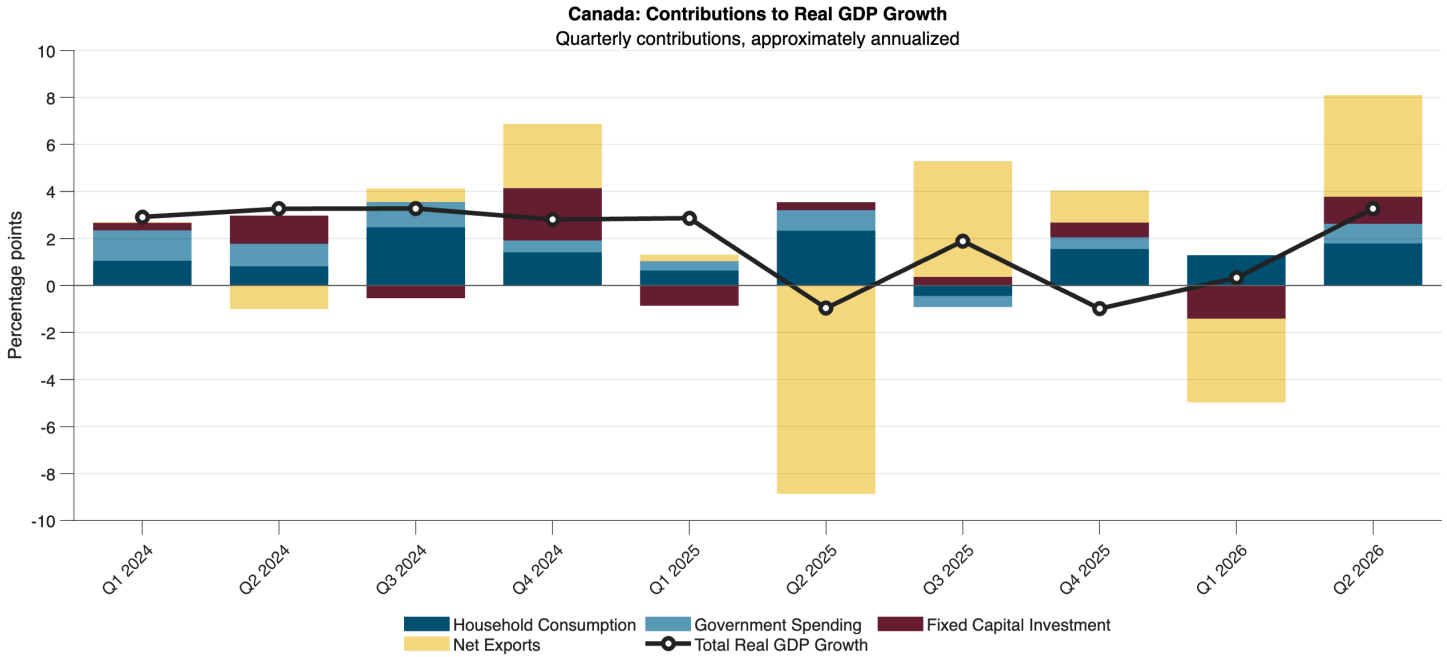


Consumer-facing firms expect 30 pp more cost pass-through, raising the risk of broader inflation.

Source(s): Bank of Canada, Statistics Canada

Canada's growth rebounds amid higher oil prices

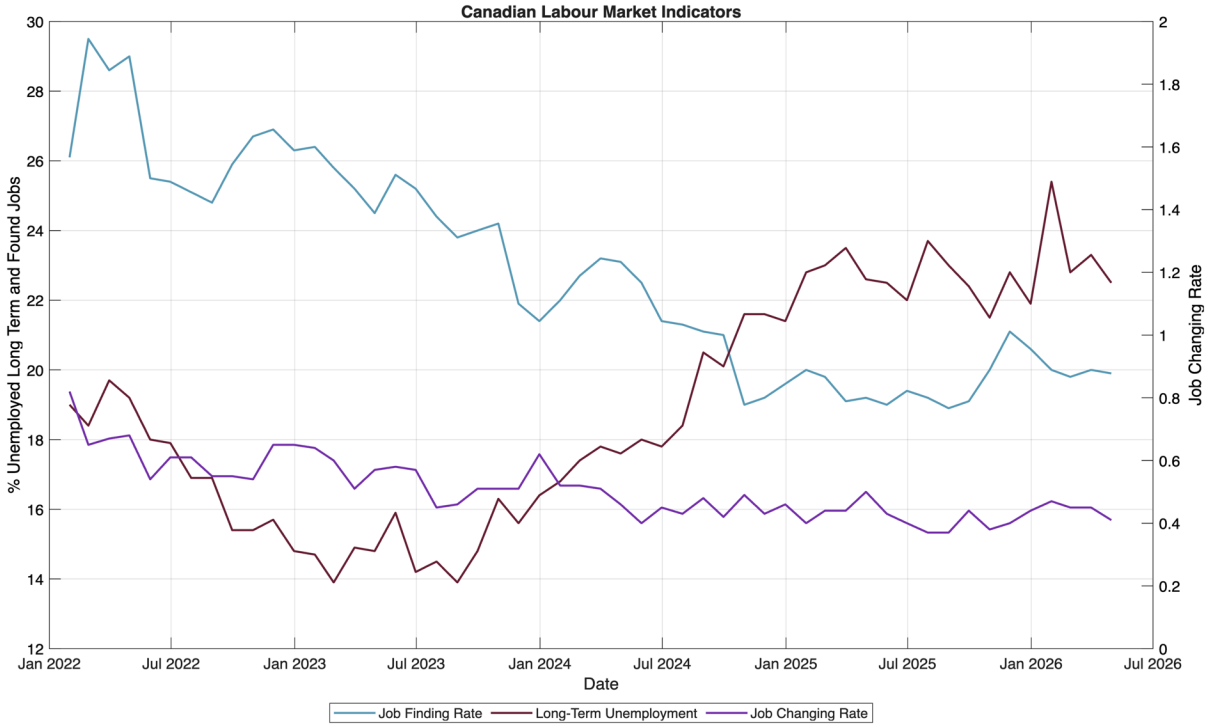
Following a period of weakness, GDP growth is returning to 2024 pace



Net exports led the Q2 rebound, supported by resilient consumption and investment.

Source(s): Bank of Canada, Statistics Canada

Soft labour market characterized by “low hire, low fire”



Declining job-finding rates and rising long-term unemployment despite steady job changing rates: **signal weak hiring and labour market slack.**

Source(s): Bank of Canada, Statistics Canada



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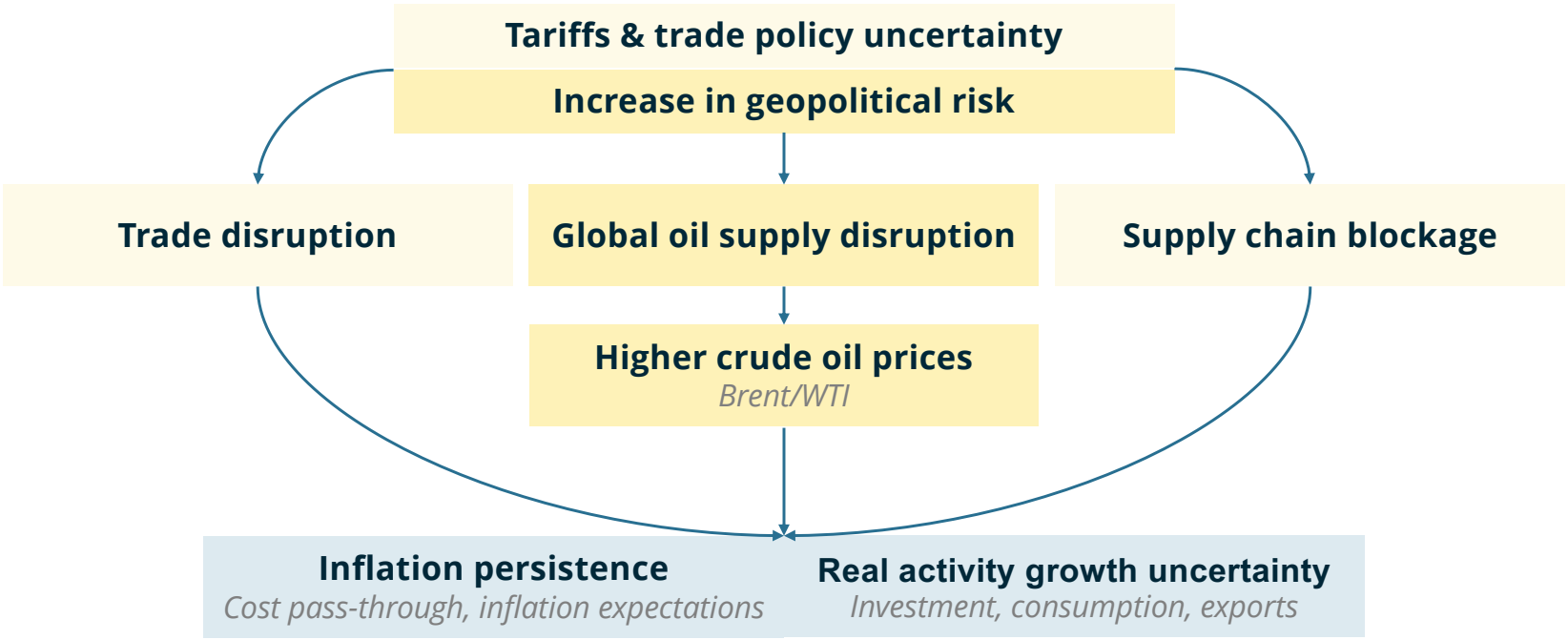
2. Domestic Overview

- *Headline inflation driven by persistent energy-price pressures.*
- *Cost pass-through and rising inflation expectations risk 2nd round effects.*
- *Stable unemployment conceals "low hire, low fire" labour market dynamics.*

3. Baseline Forecasts

Model motivation

Transmission of global risks to the Canadian economy



Model specification

Same specification and posterior draws used for unconditional and scenario forecasts

Variables & Cholesky order
Exogenous block
GPR threats
World crude oil production
Brent crude oil price
Domestic block
CAD/USD
IPPI
Real GDP
Unemployment rate
Target rate
Headline (Total) CPI
CPI-Median

Baseline model

Unconditional BVAR

First own-lag priors

Stationary variables: 0
Non-stationary variables: 0.9

Model selection

2-lags (AIC)
Variables selected by minimizing out-of-sample RMSE

Sample and forecast

Feb 1998 – Aug 2026
24-month forecasts

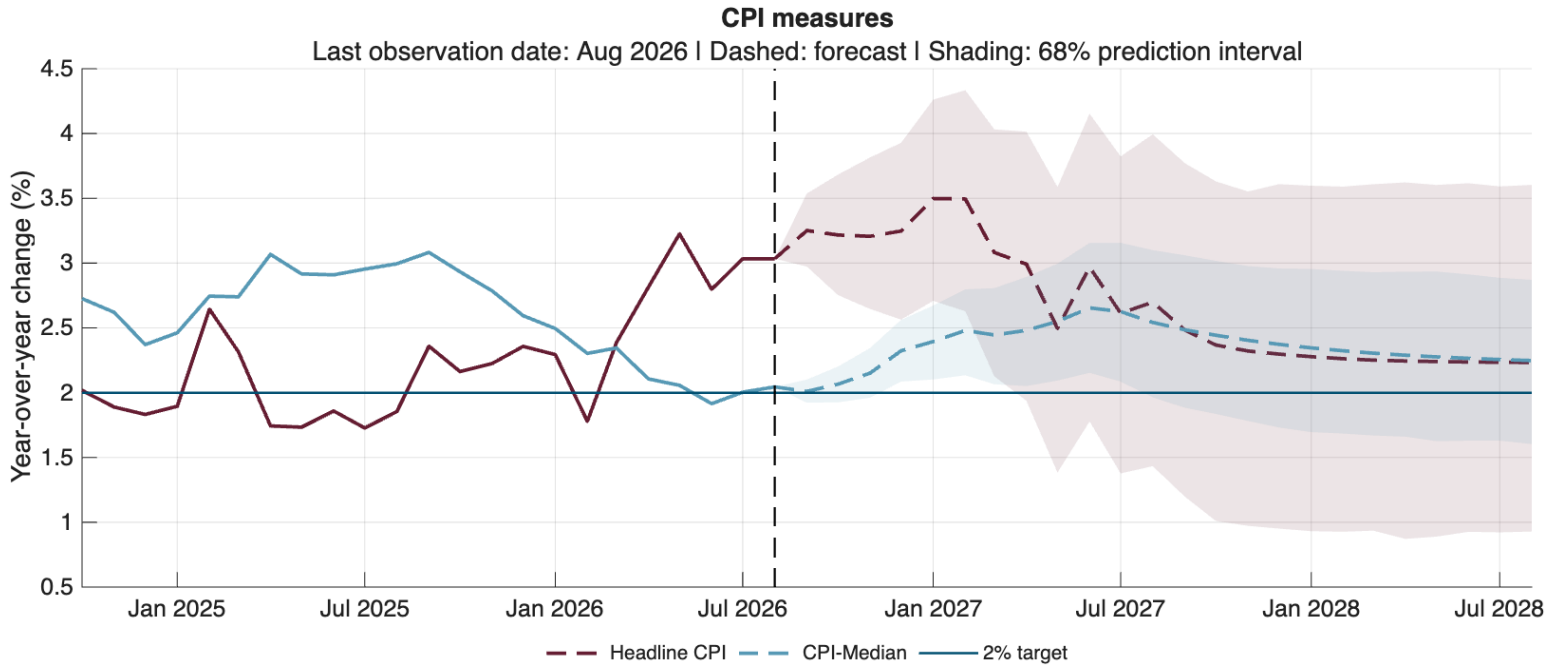
Robustness checks:

- VAR model
- Priors for non-stationary variables: 1, 0.8
- 1-6 lags
- Alternative core CPI measures
- WTI for Brent
- GPR for GPR threats

Source(s): Statistics Canada, Caldara, Dario and Matteo Iacoviello (2022), , FRED, EIA, BEAR toolbox guide (ECB)

Unconditional baseline forecast: inflation

BVAR, 2 lags, Feb 1998 – Aug 2026

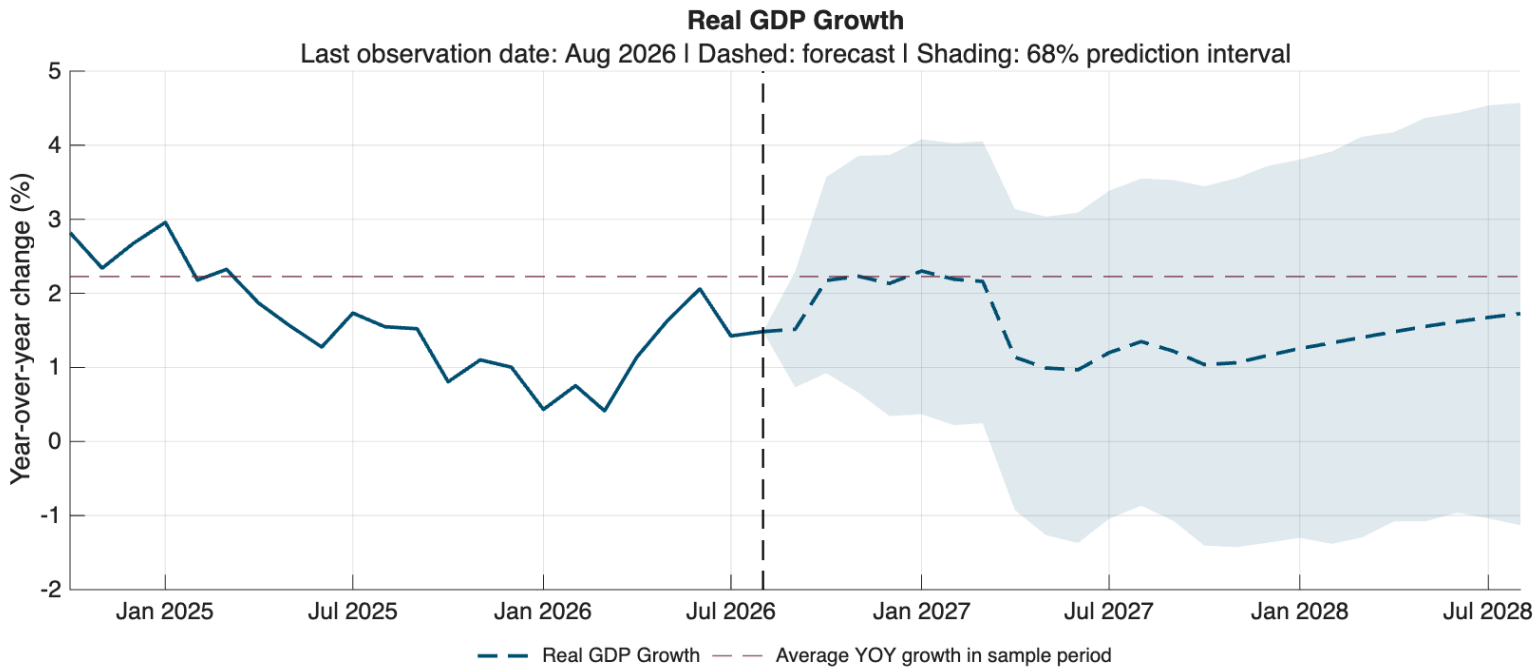


YOY Headline CPI peaks at ~3.5% in Jan 2027 before falling within target range in April 2027.
YOY CPI-Median stays within target range; peaks at ~2.65% in Jun 2027.

Source(s): Statistics Canada, Caldara, Dario and Matteo Iacoviello (2022), , FRED, EIA, authors' calculations

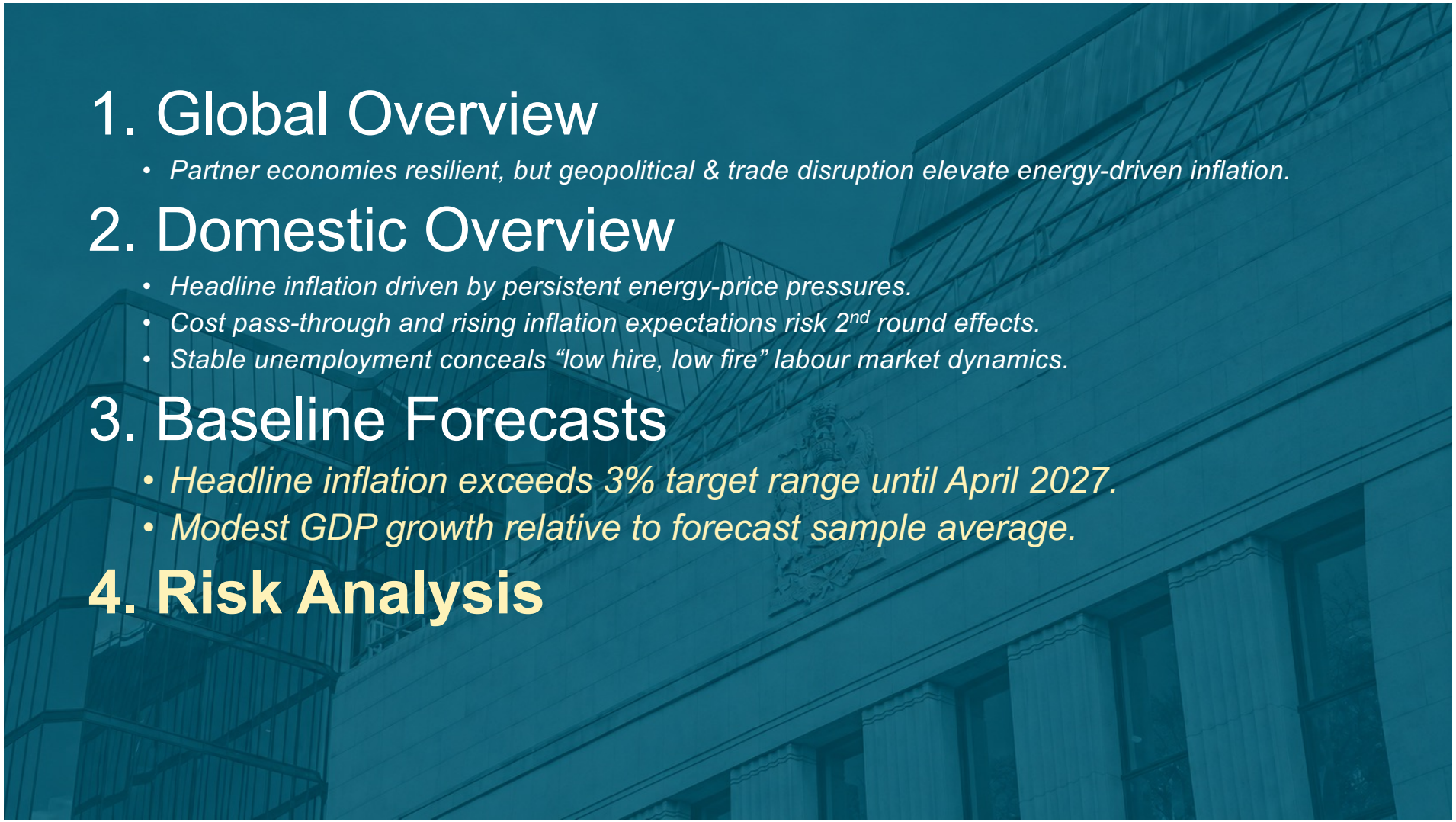
Unconditional baseline forecast: real GDP growth

BVAR, 2 lags, Feb 1998 – Aug 2026



Real GDP Growth to average ~2% from Sep-Dec 2026, below sample period average ~2.2%.

Source(s): Statistics Canada, Caldara, Dario and Matteo Iacoviello (2022), , FRED, EIA, authors' calculations



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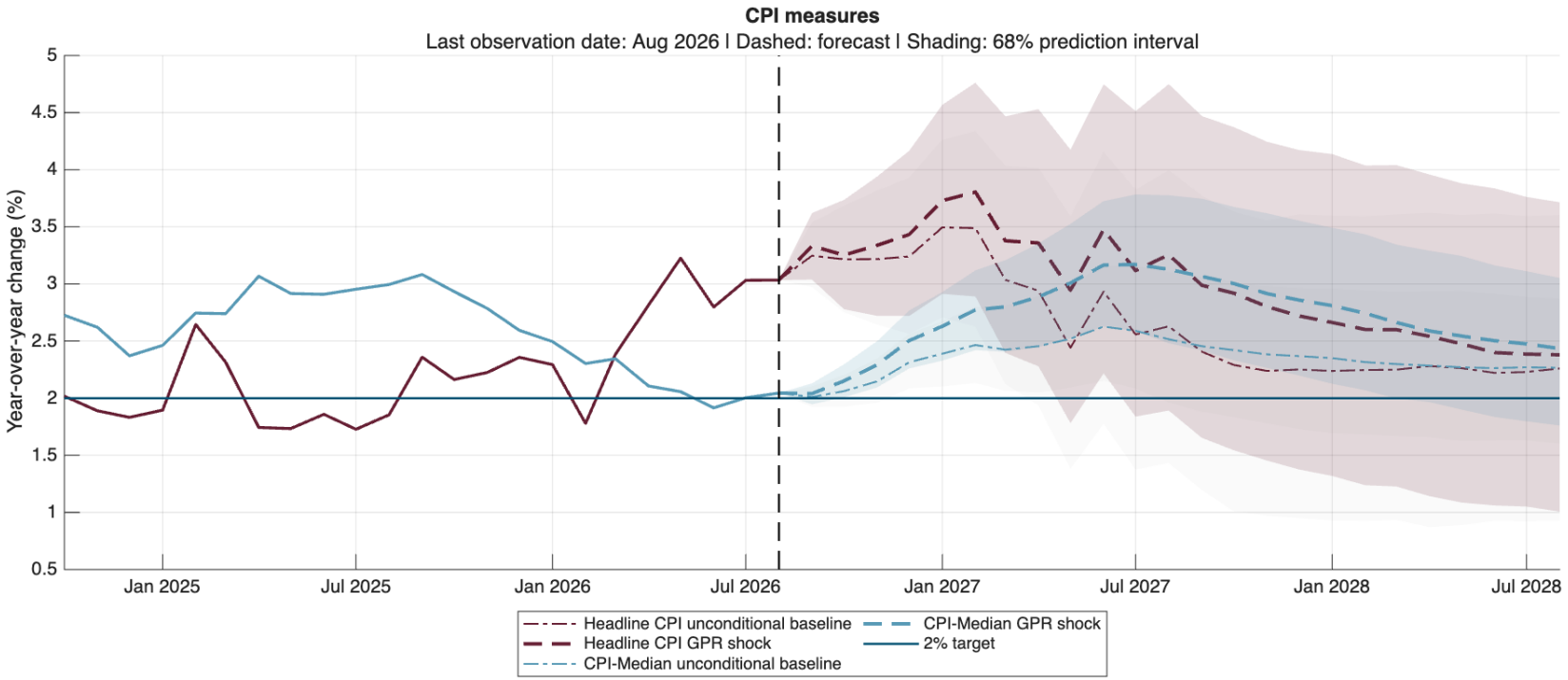
3. Baseline Forecasts

- *Headline inflation exceeds 3% target range until April 2027.*
- *Modest GDP growth relative to forecast sample average.*

4. Risk Analysis

Scenario analysis: inflation

Historical GPR threat shock calibrated to Persian Gulf War (Aug 1990-Feb 1991)

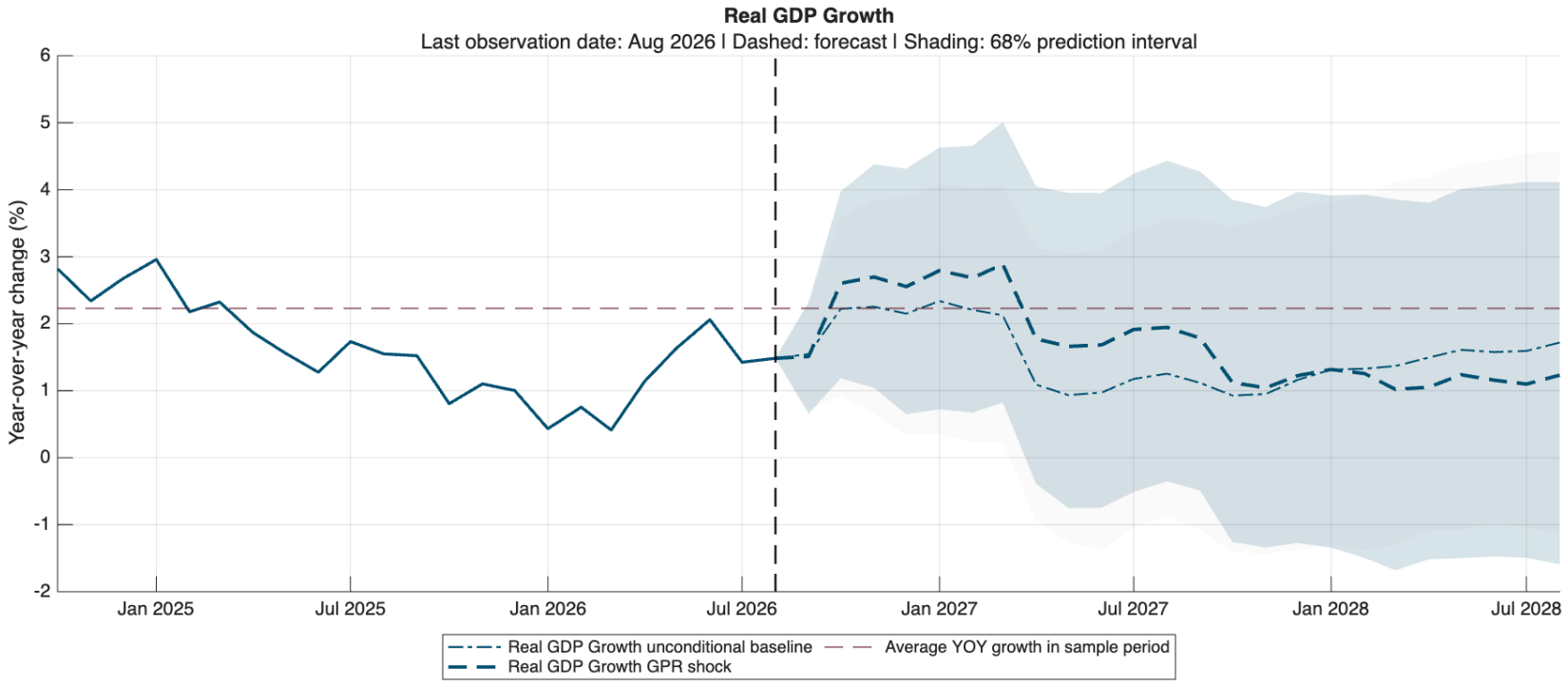


YOY Headline CPI: higher peak ~3.8% in Feb 2027 and remains above target range until Sep 2027.
YOY CPI-Median: rises beyond target range from May-Oct 2027, peaking at ~3.2% in July 2027.

Source(s): Statistics Canada, Caldara, Dario and Matteo Iacoviello (2022), FRED, EIA, authors' calculations

Scenario analysis: real GDP growth

Historical GPR threat shock calibrated to Persian Gulf War (Aug 1990-Feb 1991)



Real GDP growth initially exceeds baseline and average sample period growth (~2.2%).
Falls below baseline post Jan 2028.

Source(s): Statistics Canada, Caldara & Iacoviello, FRED, EIA, authors' calculations


1. Global Overview
• Partner economies resilient, but geopolitical & trade disruption elevate energy-driven inflation.
2. Domestic Overview
• Headline inflation driven by persistent energy-price pressures.
• Cost pass-through and rising inflation expectations risk 2nd round effects.
• Stable unemployment conceals “low hire, low fire” labour market dynamics.
3. Baseline Forecasts
• Headline inflation exceeds 3% target range until April 2027.
• Modest GDP growth relative to forecast sample average.
4. Scenario Analysis
• Geopolitical escalation risks stronger and more persistent inflation.
• Expansionary in short run from higher oil prices, contractionary risk in long run.
Recommendation


Recommendation
Increase
target rate to 2.75%
in Dec 2026

Appendix

Scenario: Historical GPR shock

Motivation and methodology for calibration to the Persian Gulf War

Historical episode selected for oil-market transmission: Gulf War (Aug 1990-Feb 1991)

- Similar geopolitical risk escalation to Iran conflict.
- Disruption to oil supply and spike in crude oil price.

Historical shock calibration using Cholesky identification

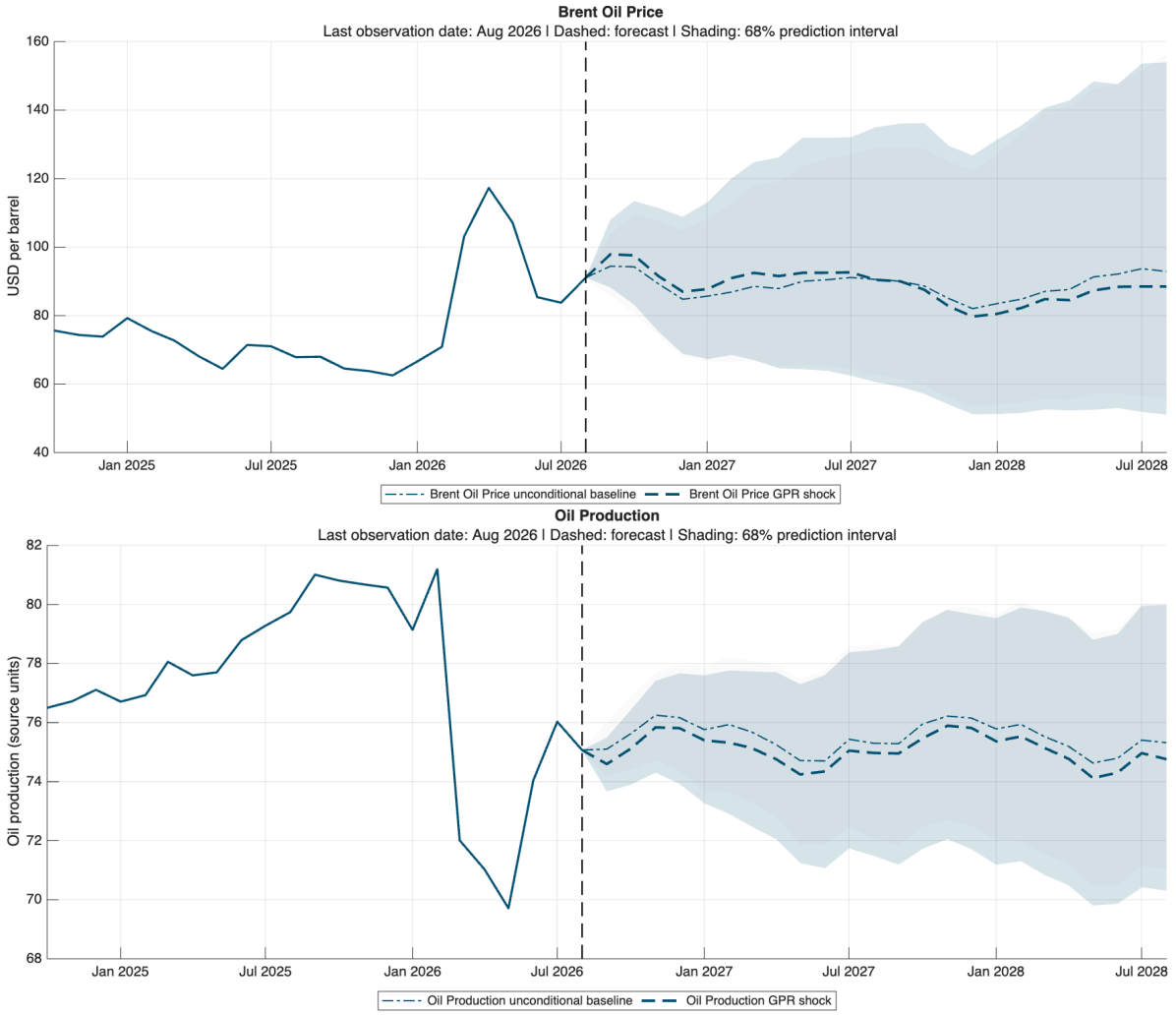
- BVAR estimated over Feb 1989–Aug 2026, using historical proxies where needed:
  - Crude oil production → Crude oil including lease condensate
  - Target rate → Bank rate
- 7 monthly Gulf War *GPR threats* innovations extracted from the Aug 1990–Feb 1991.
- Gulf War innovations standardized by historical standard deviation and transferred to forecasting BVAR.

Forecasting BVAR preserving Cholesky ordering

- 7 months of *GPR threats* shocks imposed; propagate endogenously over remaining forecast horizon.
- GPR ordered first; other structural shocks cannot affect it contemporaneously.
- Scenario and baseline share posterior draws and future innovations.
  - Isolate additional effects *GPR threats* shocks

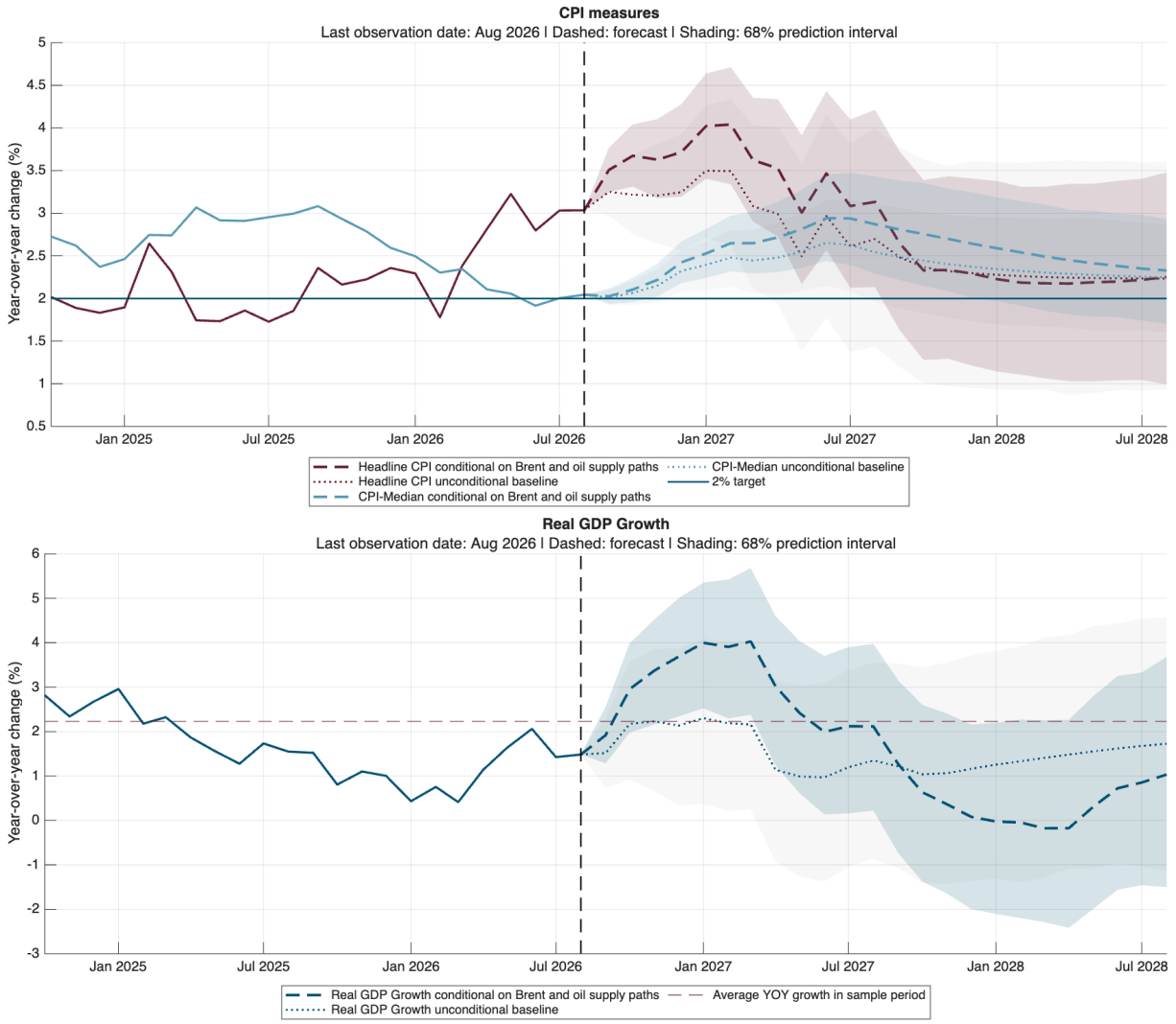
GPR threat shock:

Forecasts for Brent and world oil production



Conditional forecasts:

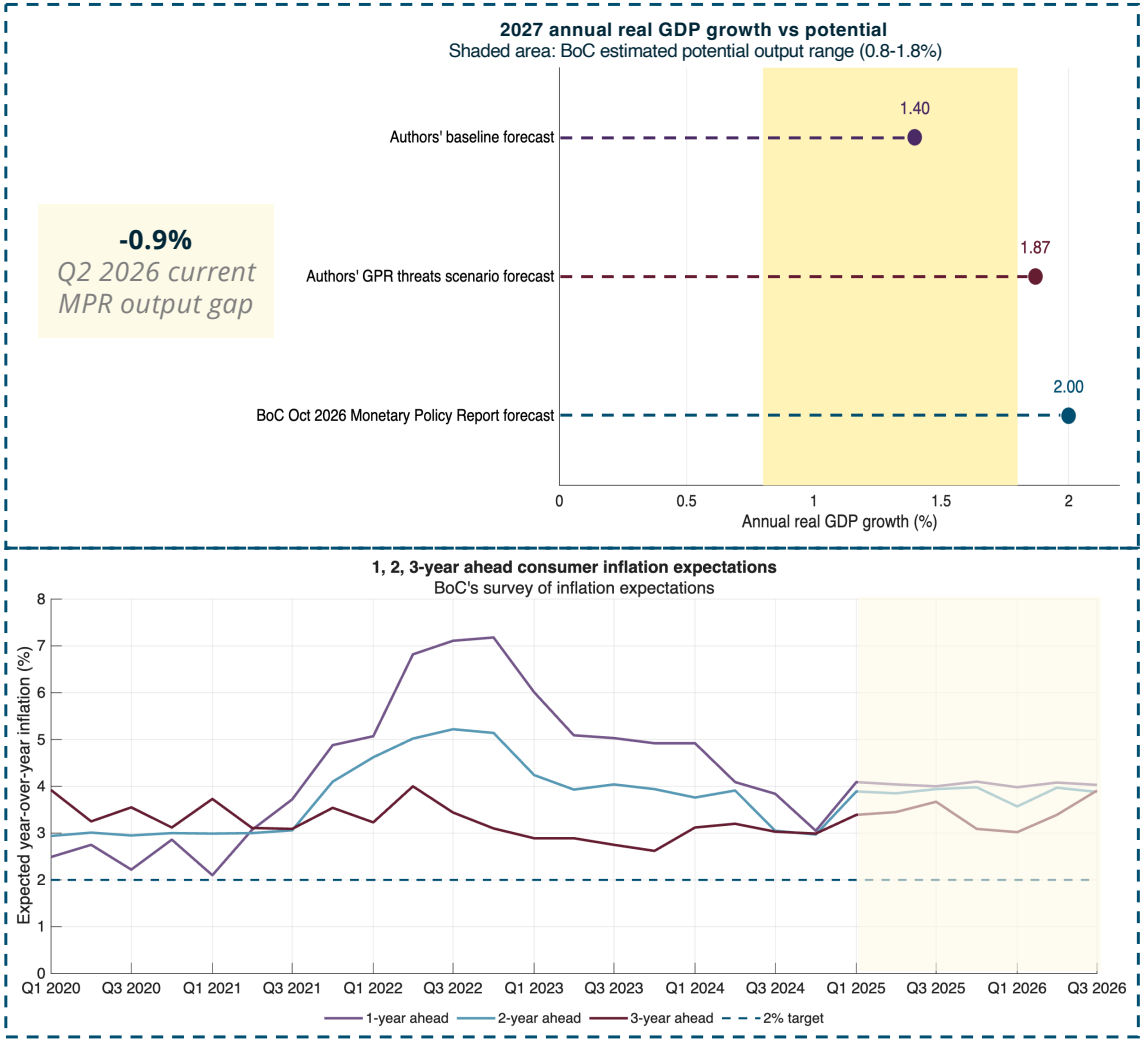
Brent and world crude oil production path forecasted by EIA STEO



Can Canada's economy support further tightening?

Risk of persistent inflation pressures may outweigh the cost of tightening

- Upwards revision to growth may accelerate the absorption of slack.
- Risk of rising long-term inflation expectations.



Source(s): Bank of Canada, authors' calculations

Tariffs and retaliation: potential inflation-output tradeoff

Trade policy uncertainty remains elevated

Short run

Upside to inflation:
- Counter-tariffs raise input costs
- May pass through to CPI inflation

Downside to economic growth:
- Weaken exports and investment
- Inflation erodes purchasing power and consumption demand

Medium run

Downside to economic growth:
- Lower investment may erode potential output

Net inflation decomposition:
- Downside: weaker demand
- Upside: persistent supply constraints, cost pass-through, higher long-term inflation expectations

Long run

Potential policy tradeoff: stabilizing CPI inflation may require accepting reduction in output relative to potential.

Source(s): Cacciatore, Matteo et al. (Jun 2026)

Data sources & references

Data sources for modelling

Variable	Transformation	Source
GPR, GPRT	100 x log	Caldara, Dario and Matteo Iacoviello (2022 *[data updated 2 Nov 2026]*), "Measuring Geopolitical Risk," American Economic Review, April, 112(4), pp.1194-1225.
Total crude oil production (Mb/d) – COPR_WORLD	100 x log difference	EIA (6 Oct 2026), "Total crude oil production, Short-Term Energy Outlook".
Crude oil including lease condensate (Mb/d) – INTL.57-1-WORL-TBPD.M	100 x log difference	EIA (last observation: June 2024), "Petroleum and other liquids".
Brent crude oil spot price forecast	100 x log difference	EIA (6 Oct 2026), "Energy prices, Short-Term Energy Outlook".
WTI crude oil spot price forecast	100 x log difference	EIA (6 Oct 2026), "Energy prices, Short-Term Energy Outlook".
Brent historical values	100 x log difference	FRED (4 Nov 2026), "Crude Oil Prices: Brent - Europe (DCOILBRENTEU)".
WTI historical values	100 x log difference	FRED (4 Nov 2026), "Crude Oil Prices: West Texas Intermediate (WTI) - Cushing, Oklahoma (DCOILWTICO)".
CAD/USD	100 x log difference	FRED (2 Nov 2026), "Canadian Dollars to U.S. Dollar Spot Exchange Rate (DEXCAUS)".
IPPI – v1230995983	100 x log difference	Statistics Canada (22 Oct 2026), "Industrial product price index, by major product group, monthly".
Real GDP – v65201210	100 x log difference	Statistics Canada (30 Oct 2026), "Gross domestic product (GDP) at basic prices, by industry, monthly, growth rates (x 1,000,000)".
GDP historical values	100 x log difference	Fortin-Gagnon, O., Leroux, M., Stevanovic, D. and Surprenant, S. (2022 [updated Oct 2026]), A large Canadian database for macroeconomic analysis. Canadian Journal of Economics/Revue canadienne d'économique, 55: 1799-1833. https://doi.org/10.1111/caje.12618
Unemployment rate – v2062815	Kept as level rate	Statistics Canada (9 Oct 2026), "Labour force characteristics, monthly, seasonally adjusted and trend-cycle".
Target rate – v39079	Kept as level rate	Statistics Canada (5 Nov 2026), "Bank of Canada, money market and other interest rates".
CPI All items, excluding energy, excluding gasoline – v41690973, v41691238, v41693245	100 x log difference	Statistics Canada (19 Oct 2026), "Consumer Price Index, monthly, not seasonally adjusted".
CPI-median index, CPI-trim index – v1481215115, v1481215116	100 x log difference	Statistics Canada (19 Oct 2026), "Consumer Price Index (CPI) statistics, measures of core inflation and other related statistics - Bank of Canada definitions".

General references

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